



BALANCE OF PAYMENTS (BOP)

Title: Balance of Payment Basic Learning

ELI5 VERSION | BY THUNDERSTUDY 🧠✨

Imagine India is a big shop 🏪 and the rest of the world is all the other shops.

Every day, India buys things from other countries and sells things to other countries.

Now we keep one big notebook 📓 to record:

- 👉 All money coming **IN**
- 👉 All money going **OUT**

That notebook is called: ✅ **Balance of Payments (BoP)**

"Balance of Payments = Record of all economic transactions between a country and the rest of the world during one year."



Think of it like Pocket Money

You: Get money from parents → money coming IN ✅ | Buy chocolates → money going OUT ❌

A country does the same thing! 😊



BoP Has TWO Main Accounts

1 Current Account (Daily Transactions)

This is like your daily spending. It includes:

- 🛍️ **(a) Trade in Goods:** Export (selling goods, money in 💰) vs. Import (buying goods, money out 💸).
- 📄 **(b) Services:** IT services, Tourism, Banking. Foreigners paying Indian firms = money IN.
- 🎁 **(c) Transfers:** Free money! NRI sending money home, Gifts, Donations.

✅ **Current Account = Goods + Services + Transfers**

2 Capital Account (Investment Transactions)

This is like big money movement or investments 🏗️. It includes:

- Foreign companies investing in India
- India investing abroad
- Loans from other countries
- Buying/selling assets

Example: Foreign company opens factory in India → money comes IN.



What Does “Balance” Mean?

We compare: **Total money IN vs Total money OUT**

Case 1 Surplus 😊: Money IN > Money OUT. Country is earning more. ✅ Good situation.

Case 2 Deficit 😞: Money OUT > Money IN. Country is spending more. Government may need loans.

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Easy Memory Trick

Think:



Current = Consumption (daily things)



Capital = Construction (investment things)



Simple Formula:

$$\text{BoP} = \text{Current Account} + \text{Capital Account}$$



One-Line Exam Definition

"Balance of Payments is a systematic record of all economic transactions between residents of a country and the rest of the world during a given period."



Ultra-Quick Revision Table

Account	Meaning	Example
Current Account	Daily trade	Export/import
Capital Account	Investments & loans	Foreign investment
Surplus	Inflow > Outflow	Extra earnings
Deficit	Outflow > Inflow	Borrowing needed

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